KEY BENEFIT ADMINISTRATORS

OPPORTUNITY REVIEW | NOVEMBER 2026

Direct-to-Employer Go-to-Market Strategy

Exploring an OhioHealth direct-to-employer health plan within Ohio's statewide Key Preferred Network

Prepared for

OhioHealth

Statewide network

KEY PREFERRED NETWORK



EXECUTIVE SUMMARY

Ohio is ready for a statewide direct-to-employer network

A statewide network is forming

KBA is already working with University Hospitals in Northeast Ohio and The Christ Hospital in Southwest Ohio on a statewide plan. OhioHealth completes Central and Southeast Ohio.

Two ways for OhioHealth to participate

Launch an OhioHealth-branded plan built on Key Preferred's broad statewide contracts, or join Key Preferred as the preferred health system for its region.

Steerage without restricting choice

Key Preferred Benefits reward members for using preferred systems, while the broad network lets them go anywhere. KBA networks average 83% Tier 1 steerage.

$20.6M

Projected Year 4 net margin change for OhioHealth
Target case for an OhioHealth-branded plan: 18,600 members, 67% inpatient and 58% outpatient steerage, 26.4% commercial margin



ABOUT KEY BENEFIT ADMINISTRATORS

A national leader in self-funded plans

1979
Founded in Indianapolis

3,000+
Corporate clients

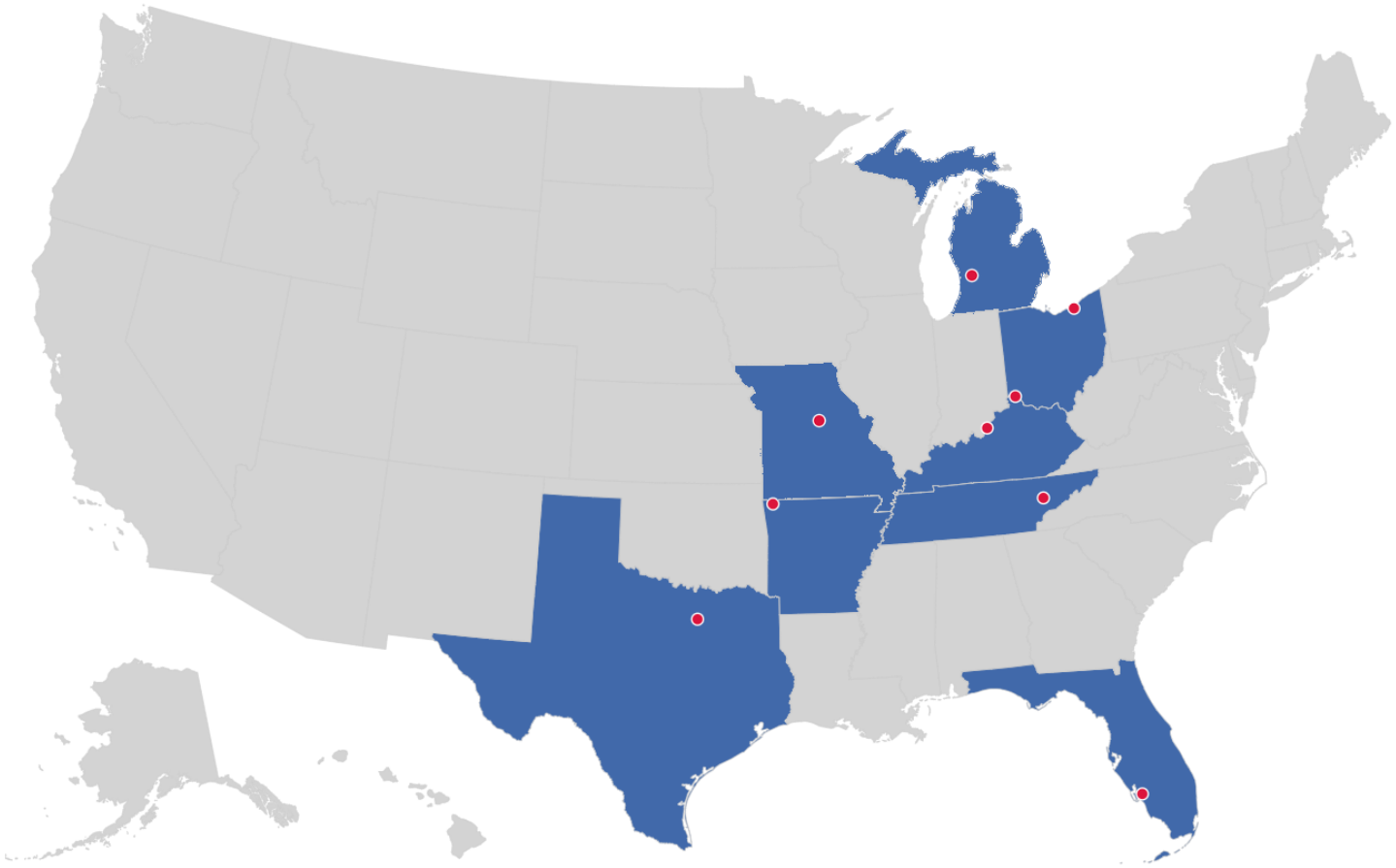
3M
Members under management

700
Employees

- Largest independently owned full-service third-party administrator
- Specialists in self-funded plan administration and population health management
- A leader in the direct-to-employer movement
- Works with every professional team: agents, networks and MGAs
- The Key Family of Companies is a vertically integrated group of benefit organizations

TRACK RECORD

Market leader in private-labeled DTE plans

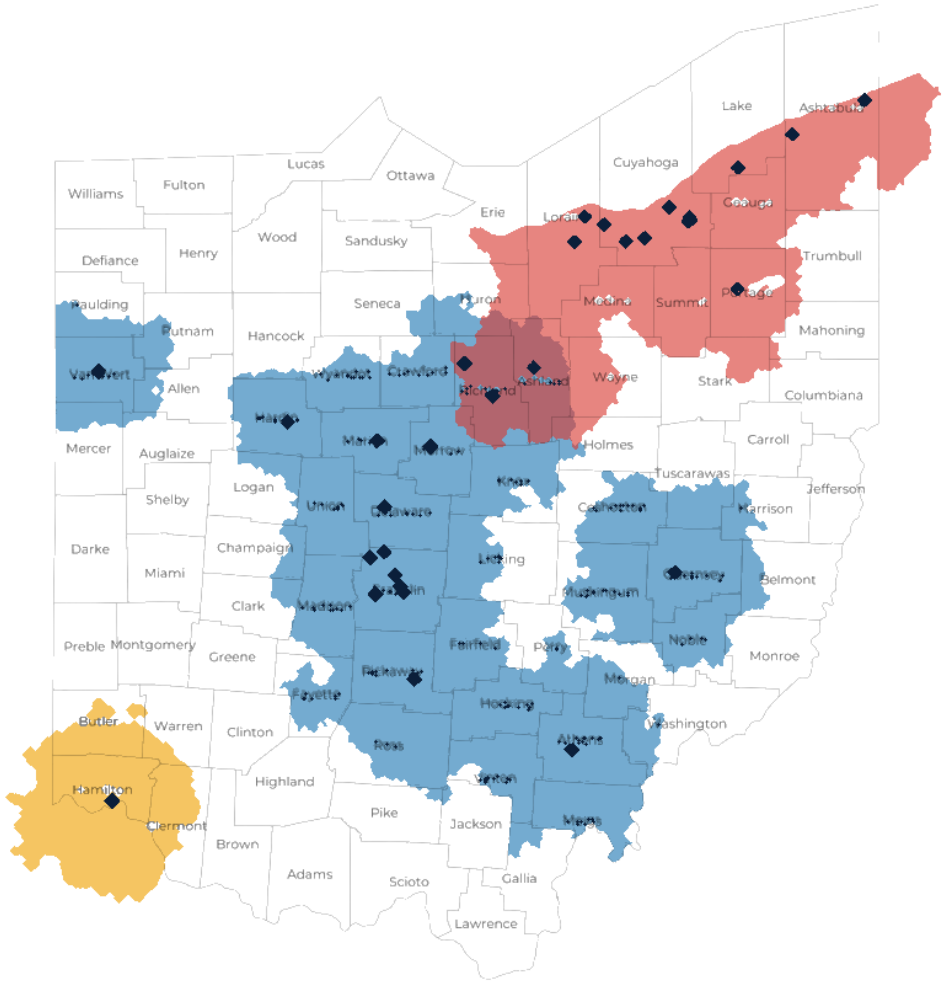


Private-labeled DTE markets

- **Cleveland, OH**
- **Cincinnati, OH**
- Grand Rapids, MI
- Columbia, MO
- Louisville, KY
- Knoxville, TN
- Bentonville, AR
- Dallas-Fort Worth, TX
- Fort Myers, FL

Already active in two Ohio markets

Three anchor systems, three largest Ohio metros



University Hospitals

WORKING WITH KBA TODAY

Northeast Ohio: Cleveland, Akron and the Lake Erie corridor to Ashtabula

OhioHealth

THE OPPORTUNITY

Central and Southeast Ohio: Columbus, Mansfield, Marion, Athens, Cambridge and Van Wert

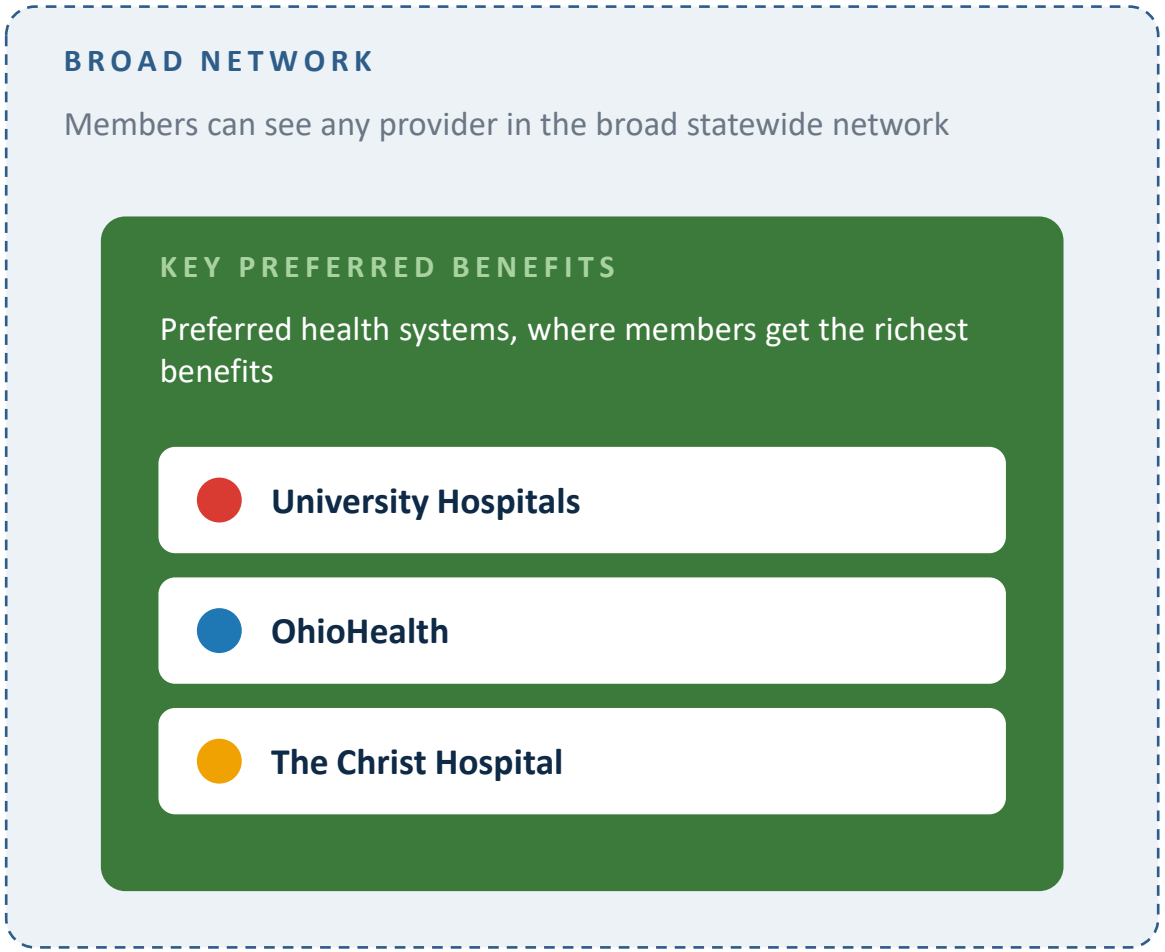
The Christ Hospital Health Network

WORKING WITH KBA TODAY

Southwest Ohio: Greater Cincinnati

Complementary footprints. The systems overlap only around Mansfield and Ashland, so each can be the clear preferred choice in its own region. Toledo, Dayton and Canton-Youngstown remain open for future preferred partners.

Not a typical PPO: steer to preferred, keep choice



Steer with rewards, not restrictions

Preferred Plus Benefits, the Health Guardian Account and a 0% Convenience Card can take a member's out-of-pocket cost to $0 at a preferred system.

Keep freedom of choice

Members can still use any provider in the broad network, which makes the plan easy for employers and brokers to say yes to.

EPO-like steerage inside a PPO

KBA's DTE networks average 83% Tier 1 steerage, against OhioHealth's estimated 34% inpatient market share today.

YOUR CHOICE

Two ways for OhioHealth to participate

PATH A

An OhioHealth-branded plan, powered by Key Preferred

HOW IT WORKS	OhioHealth launches its own DTE plan as the preferred tier. Key Preferred's broad statewide contracts give members access everywhere else.
BRAND	OhioHealth names the plan and owns the employer relationship.
ECONOMICS	OhioHealth sets the fees and keeps the plan profits.
BEST FIT IF	OhioHealth wants a flagship branded product and full control.

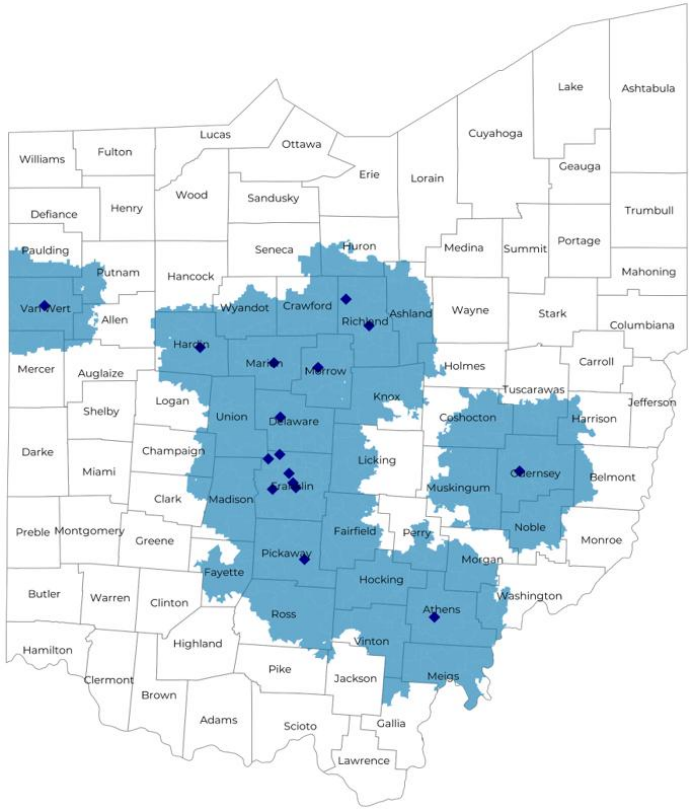
PATH B

Join Key Preferred as a preferred system

HOW IT WORKS	OhioHealth becomes the preferred system for Central and Southeast Ohio inside the statewide plan, next to UH and The Christ Hospital.
BRAND	OhioHealth is featured as a preferred system in a statewide plan.
ECONOMICS	Steered volume from every Key Preferred employer with members in OhioHealth's region.
BEST FIT IF	OhioHealth wants statewide employer reach and a faster start on an existing plan.

The financial projections in this deck model Path A. Both paths use the same KBA administration, Key Preferred Benefits and statewide broad network.

Significant room for plan growth



3,500+

Employers

800,000+

Employees

1,500,000+

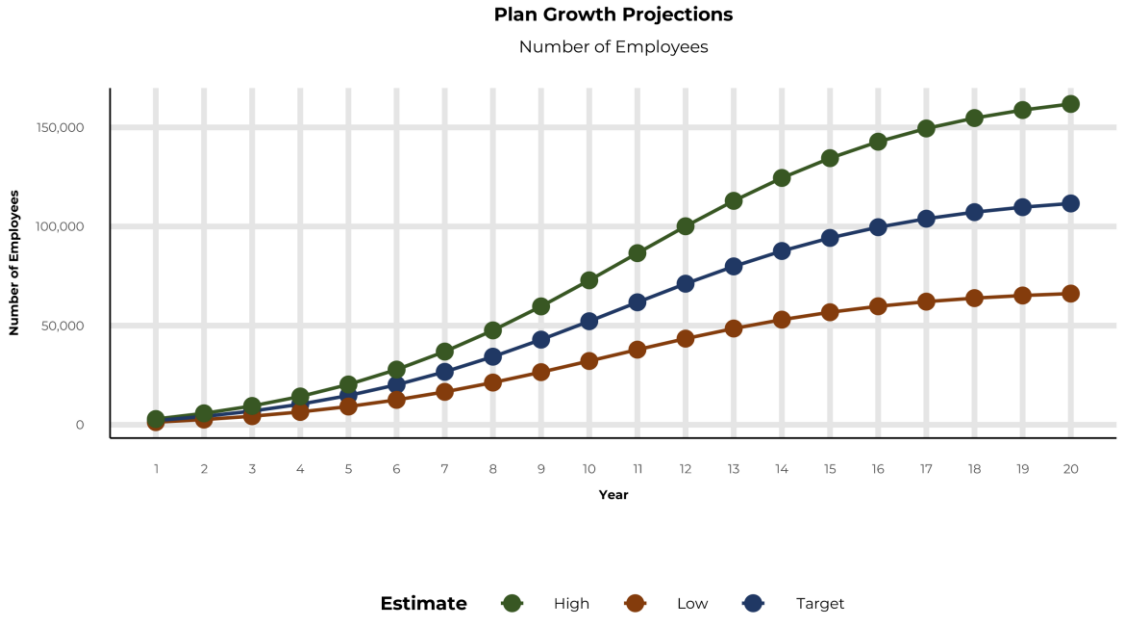
Members

Commercial employers headquartered in the OhioHealth catchment area, by employer size (number of employees)

	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
Employers	1,995	900	565	300	111	79
Employees	149,600	135,000	169,500	210,000	222,000	474,000
Members	269,300	243,000	305,100	378,000	399,600	853,200

Plan potential growth paths

Population	2,585K
Working age	1,546K
Insured	1,091K
Self-funded	765K



Service area includes Allen, Ashland, Athens, Champaign, Coshocton, Crawford, Delaware, Fairfield, Franklin, Guernsey, Hardin, Harrison, Hocking, Huron, Knox, Licking, Madison, Marion, Meigs, Mercer, Morgan, Morrow, Muskingum, Noble, Perry, Pickaway, Richland, Ross, Tuscarawas, Union, Van Wert, Vinton, Washington and Wyandot counties.

LONG-TERM ECONOMICS

Growing powerful, lasting profitability

Early stage

Gaining name recognition, early growth

New revenue
$40.28M

New profit
$10.66M

Growth stage

Strong reputation, strong growth

New revenue
$246.18M

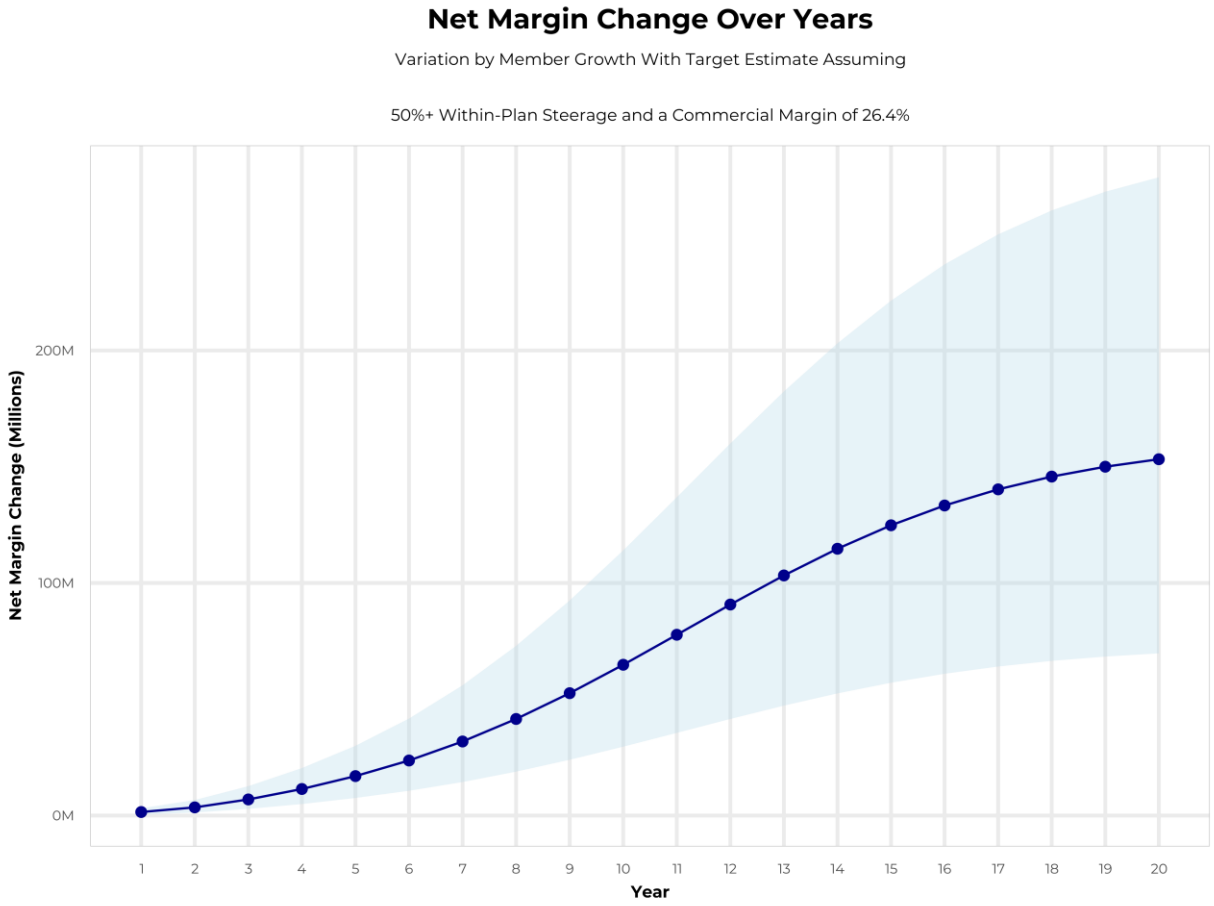
New profit
$66.08M

Mature stage

High profitability, market saturation

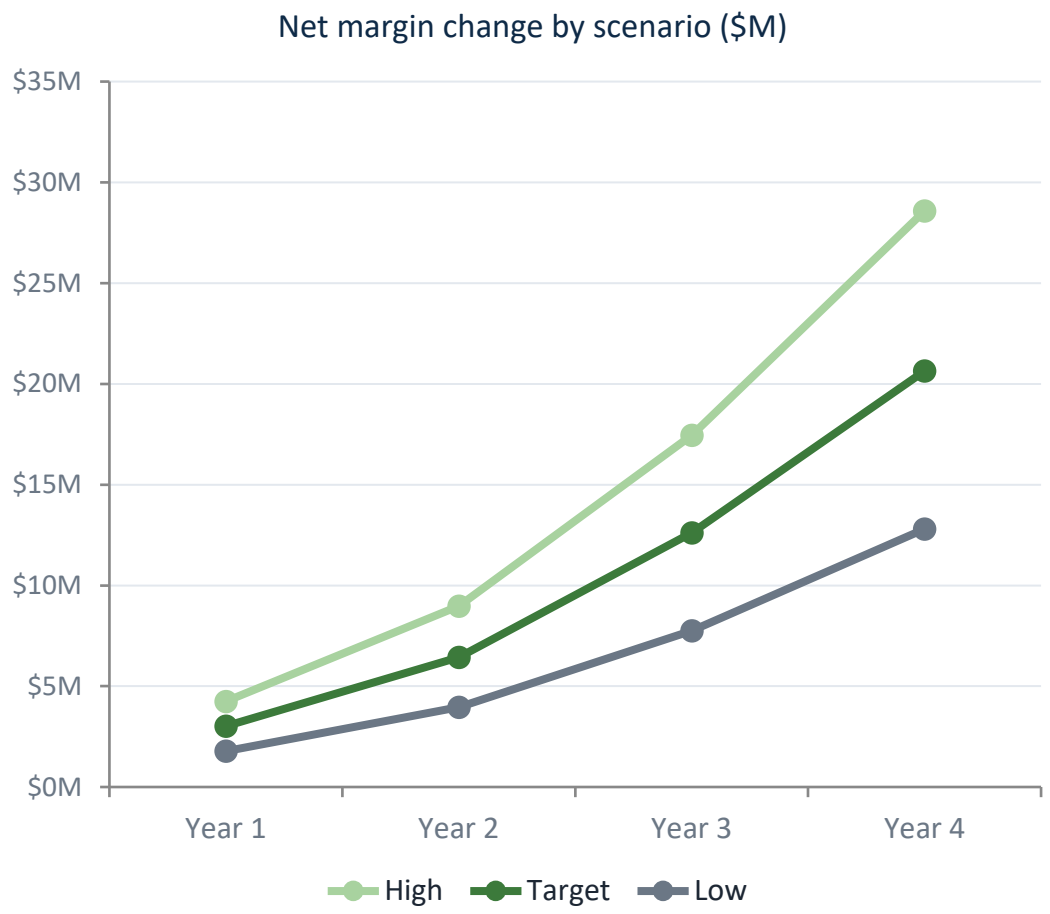
New revenue
$512.03M

New profit
$137.44M



FOUR-YEAR PROJECTIONS

Net margin change grows to $20.6M by Year 4



Target case ($K)	Year 1	Year 2	Year 3	Year 4
Number of Members	3,800	7,500	12,400	18,600
Incremental Margin	3,301.4K	6,518.9K	12,640.4K	20,592.0K
Network Access Fee	45.6K	90.0K	148.8K	223.2K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	**3,017.0K**	**6,428.9K**	**12,609.2K**	**20,635.2K**

HIGH CASE, YEAR 4

$28.6M

25,700 members

LOW CASE, YEAR 4

$12.8M

11,600 members



WHAT WILL THIS CLAIM COST ME?

The benefit steers the patient to OhioHealth

Explanation of benefits: heart attack, cardiac surgery	
THE CHARGES	
Medical bills	$25,000
Out-of-pocket due to provider	$4,500
THE CREDITS	
OP radiology / X-ray	$200
OP diagnostic labs	$100
Preferred hospital stay ($500/day, 5 days)	$2,500
Critical illness benefit	$2,000
Health screening benefit	$125
Benefit total	**$4,925**
Out-of-pocket paid to hospital	($4,500)
Balance paid to Health Guardian Account	**$425**

OhioHealth patients can have all out-of-pocket liability reduced to $0

KEY BENEFIT ADMINISTRATORS



THE KBA HEALTHCARE CONVENIENCE CARD

Creating EPO steerage in a PPO network

The card works only for specific merchant codes, so it rewards care at preferred providers.

1. **Use at specific healthcare providers**
   Designated hospitals, urgent care facilities, physicians and eligible ancillary providers
2. **Out-of-pocket expenses qualify**
3. **0% interest rate**
4. **Employee sets the repayment schedule**
5. **Simple to qualify**
   Answer one simple question

A partner you can trust

Our objectives are aligned

We know the Ohio market

Completely transparent

The sophistication and infrastructure to compete

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KEY PREFERRED NETWORK